

Control policies by ABC class

Part 4 · How do we begin? — solution report with data, method, results and charts

Contents

1. Part 4 · How do we begin? — Control policies by ABC class

1. Control policies by ABC class

Recommended control policy by class.

class	level of control	review	records	safety stock and lot size	who manages
A	Tight	Continuous / weekly	Perpetual, audited, cycle-counted monthly	Low SS, small frequent lots, close follow-up	Senior planner
B	Normal	Bi-weekly to monthly	Perpetual, counted quarterly	Moderate	Planner
C	Least possible	Quarterly or two-bin	Simple, counted yearly	Generous SS, large infrequent lots	Clerk / automatic

Control effort follows value

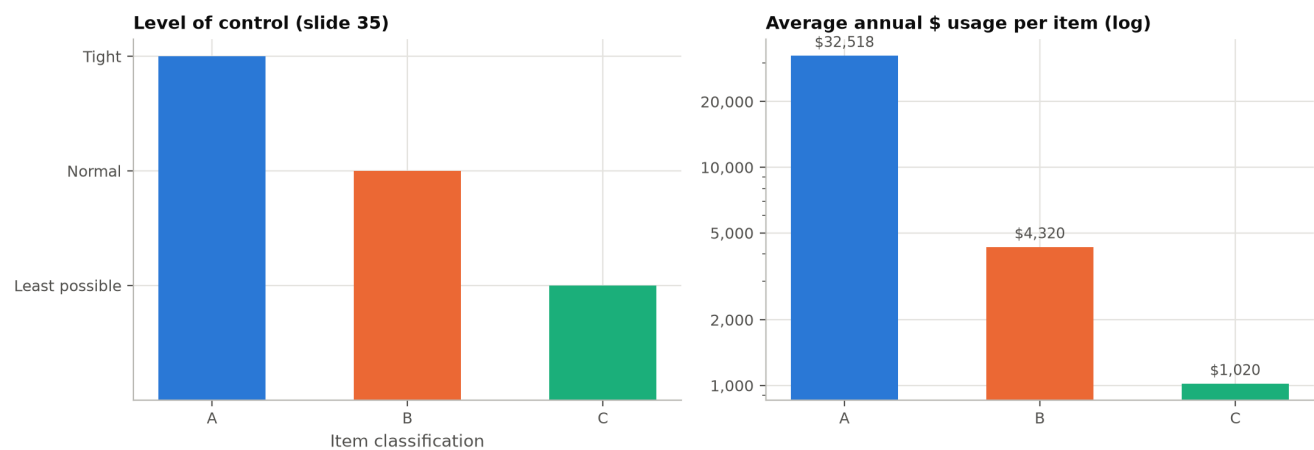


Figure 1.1 — Control level and value per item by class.

An A item is on average **32×** more valuable per year than a C item — a stock-out of a C item is an inconvenience that is cheaply prevented by holding more of it.